

* There's a less obvious way inflation comes into play in this example. If you started saving at age 25 rather than 35, each of the \$1,000 annual deposits you made during the first ten years would have more "purchasing power" during the year you made it than the \$1,000 you deposited each year after that. Although your ten-year head start would leave you with a much larger retirement nest egg, your initial deposits would thus be "more expensive" for you than the ones you made after your 35th birthday. As a result, the benefits of saving early would be offset somewhat by the effects of inflation.